

Love or Hate Trump, It's No Way to Invest

JUST BECAUSE INVESTING based on how you vote is a terrible idea doesn't stop some people from doing it. Consider this Bloomberg article with the headline "Republican Voters Bet on Stocks After Trump's Win. Democrats Didn't."³³⁰

I suppose we shouldn't be surprised, since it's clear that much human behavior is based on feeling rather than thinking. Still, I'm disappointed that something so well understood *still* elicits bad investor behavior.

The article discussed a study published by the National Bureau of Economic Research, laying out how political party affiliation affected household investment choices. After Donald Trump won the November 2016 presidential election, half the country was elated while the other half was depressed. That is expected in politics. But things soon changed for the better or worse, depending upon how you voted. The research found:

Republicans increase the exposure of their investments to the U.S. stock market relative to Democrats following the election. Democrats increase their relative holdings of bonds and cash-like securities.

You read that right: For no other reason other than the outcome of the presidential election, Republicans bought more stocks, while Democrats shifted to bonds and cash.

Even worse, this was not a one-time allocation shift. Instead, it was driven by "active trading over a six-month horizon following the election." The study noted that the relative change in equity shares was "twice as large among previously active investors." Not only was there an asset allocation shift, but these investors traded more actively for the two quarters after the election.

To my Republican friends, I say, "Congrats. Good results for the wrong